(iii) Nominal account

'Debit all expenses and losses and Credit all incomes and gains'. For nominal accounts, the rule is debit all expenses and losses and credit all incomes and gains.

Example	:	Paid rent of ₹ 5,000 in cash
Accounts affected	:	Rent account and cash account
Nature of accounts	:	Rent is a nominal account and cash account is a real account
Rule	:	Debit all the expenses and losses and credit all the incomes and gains
Applying the rule	:	Rent is an expense and cash goes out
Debit		Rent account
Credit		Cash account

3.8.6 Analysis of transactions

Example 1

Transaction: Somu commenced printing business with cash ₹ 50,000.

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Somu commenced business with cash ₹ 50,000	Cash A/c	Real A/c	Cash comes in	Debit
	Somu's capital A/c	Personal A/c	Somu is the giver	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash A/c	Dr.		50,000	
	To Somu's capital A/c				50,000
	(Somu commenced business with capital)				

Example 2

Transaction: Bought goods for cash ₹ 4,000

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Bought goods for cash ₹ 4,000	Purchases A/c	Nominal A/c	Expenses made	Debit
	Cash A/c	Real A/c	Cash goes out	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Purchases A/c	Dr.		4,000	
	To Cash A/c				4,000
	(Cash purchase made)				

Example 3

Transaction: Purchased goods from Rahul for ₹ 10,000 on credit

Analysis: This is a credit transaction.

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